

Meridian Outdoor Gear Co.

Annual Report Excerpt - Fiscal Year 2025

Meridian Outdoor Gear Co. designs and sells outdoor apparel, footwear, and camping equipment through its e-commerce site and a growing network of retail stores across North America, Europe, and Asia Pacific. The company was founded in 2015 and has grown from a single flagship store into a multi-channel outdoor lifestyle brand.

This excerpt covers six fiscal quarters, Q1 2024 through Q2 2025, presented oldest to newest, left to right, across the Consolidated Statement of Operations, a condensed Balance Sheet, revenue by region, and key customer and operational metrics.

Management highlights continued revenue growth driven by new store openings and international expansion, alongside rising marketing and fulfillment costs and an uptick in the product return rate that the operations team is actively investigating.

Consolidated Statement of Operations (Unaudited)

All figures in U.S. dollars unless otherwise noted.

Total Revenue	2,150,000	2,280,000	2,410,500	2,560,750	2,690,000	2,845,000
Cost of Goods Sold	1,075,000	1,128,000	1,180,000	1,241,000	1,290,000	1,350,000
Gross Profit	1,075,000	1,152,000	1,230,500	1,319,750	1,400,000	1,495,000
Marketing Expenses	215,000	238,000	261,000	287,000	312,000	341,000
Warehouse and Fulfillment Costs	128,000	135,000	144,500	153,000	161,000	172,000
Net Income	320,000	345,000	372,000	401,000	430,000	462,000

Gross margin held roughly steady near 50 percent across the period. Marketing spend grew faster than revenue as the company invested in new-market launches in Europe and Asia Pacific.

Condensed Balance Sheet

Total Assets	4,200,000	4,350,000	4,510,000	4,690,000	4,850,000	5,020,000
Total Liabilities	1,800,000	1,830,000	1,860,000	1,895,000	1,920,000	1,955,000
Cash and Equivalents	950,000	990,000	1,040,000	1,110,000	1,180,000	1,260,000

Revenue by Region

Americas	1,182,500	1,254,000	1,325,775	1,408,412	1,479,500	1,564,750
EMEA	645,000	684,000	723,150	768,225	807,000	853,500
Asia Pacific	322,500	342,000	361,575	384,112	403,500	426,750

The Americas remains the largest region by revenue, followed by EMEA and Asia Pacific. Asia Pacific grew fastest on a percentage basis following the opening of two new flagship stores in the region during the second half of the period.

Customer and Operational Metrics

Customer Count	18,500	19,200	20,100	21,300	22,400	23,800
Customer Retention Rate	88	87	85	84	82	80
Average Order Value	116.22	118.75	119.90	120.30	120.09	119.54
Return Rate Percent	4.20	4.80	5.60	6.30	7.10	7.80

Customer Retention Rate and Return Rate Percent are shown as index values, not currency. Average Order Value is in U.S. dollars.

Risk Notes

Customer retention has declined for five consecutive quarters, from 88 percent to 80 percent, coinciding with a rise in the product return rate from 4.2 percent to 7.8 percent over the same period. Management attributes part of the decline to sizing inconsistencies in the new footwear line launched in Q3 2024 and has initiated a product quality review with the manufacturing team.

Marketing expenses have grown 59 percent over the period, outpacing revenue growth of 32 percent, as the company funds international expansion. Leadership expects marketing spend as a percentage of revenue to normalize once new-market stores reach maturity, targeted for early fiscal 2026.